Stock exchanges

Stock exchanges enable companies to raise money, increase their profiles, and obtain market valuation. The main exchanges in the US are the New York Stock Exchange, NASDAQ, and NYSE MKT and NYSE Amex Options.

New York Stock Exchange

The center of the US financial world is the New York Stock Exchange (NYSE) on Wall Street in New York City. It is the world's largest stock exchange in terms of market capitalization, which is the market value of the company shares traded on the exchange.

The market capitalization of the NYSE was listed at $19.3 trillion as of June 2016. The average daily trading value in 2013 was $169 trillion. The NYSE, called "the Big Board," lists close to 1,900 companies, of which about 400 are outside the US. It is owned by Intercontinental Exchange, a US holding company.

The NYSE is an auction market where brokers buy and sell securities on behalf of investors. The goal is to match the highest bidding price to the lowest selling price. In addition, the NYSE sells securities such as options, mutual funds, bonds, derivatives, exchange-traded funds (ETFs), warrants, commodities, and US Treasury bonds.

There are two major markets to consider: the primary market and the secondary market.

Primary market

In the primary market, companies sell new issues of common and preferred stocks, also called an Initial Public Offering (IPO), as well as notes, government bonds, corporate bonds, and bills. This facilitates funding for business expansions and is usually done through investment banks (or securities dealers), which set the price for the IPO and administer the sale. Trading then takes place on the secondary market.

Secondary market

Most sales occur on the secondary market, which is so named because it's where investors buy and sell securities they already own. The sale is the second transaction the security has gone through.

Secondary markets operate as marketplaces that compete with each other. Each secondary market has its own requirements for listing on the exchange. A company can appear on more than one exchange.

NYSE To be listed on the NYSE, a company must meet certain standards. The application includes details such as articles of incorporation, bylaws, confirmation that shareholder requirements are met, and information about key executives. A security underwriter confirms that the company meets the standards for listing.

In addition, a company must have a combined pretax income for the last three years of at least $10 million and earned at least $2 million in the previous two years. (Or have earned $12 million in pretax dollars in the past three years with at least $5 million in the most recent year and $2 million in the year before that.)

At least 400 shareholders need to own more than 100 shares of stock each. There must be 1.1 million publicly held shares and a market value of the public shares must be at least $40 million (with stock trading for at least $4 per share).

Nasdaq Unlike the NYSE, the Nasdaq (National Association of Securities Dealers Automated Quotation System) has a virtual presence only. It operates via a telecommunications network for listing and trading securities. The NYSE operates on an auction system, but the Nasdaq utilizes dealers or "market makers."

The Nasdaq is known for attracting firms in the high-tech industry. An estimated 3,100 companies are listed on the exchange. About 2 billion shares are traded daily and, among the US exchanges, it handles the most IPOs.